CASE STUDY

Arun, Balu and Charan are partners in a partnership firm. After few years, Charan wanted to leave the firm because of his illness. The other two partners agreed on this. After making adjustments for reserves and revaluation of assets and liabilities, Charan's capital account showed a balance of ₹ 1,40,000. But, Arun and Balu paid ₹ 1,65,000 to Charan. After his retirement, one of the firm's customers filed a case against the firm, for the bad service provided by the firm.

Discuss on the following:

1. Apart from illness, what other reasons can be there for retirement?
2. What are the adjustments to be made in the accounts when Charan leaves the firm?
3. What could have been the cause for paying ₹ 1,65,000, instead of ₹ 1,40,000, to Charan?
4. If the firm did not have enough money to settle the amount due to Charan, what can be done?
5. Is Charan liable for the case filed by the customer?

To explore further

After a partner's death, if the remaining partners agreed to close down the partnership firm, what should be done?

Reference

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